Entrepreneurial Skills

The big idea

Have you noticed the local tea stall, the bakery or the mobile repair shop near your home? Each was started by someone who saw a need and took a risk. That person is an **entrepreneur**, their business is an **enterprise**, and the process is **entrepreneurship**.

DEFINITIONS

- **Entrepreneur**: a person who starts a business, takes the risk and earns profit (or bears losses).
- **Enterprise**: the business itself.
- **Entrepreneurship**: the process of identifying an opportunity and creating a business to meet a need.

Entrepreneurship and the economy

Entrepreneurs:

- produce goods and services people need;
- **create jobs** for themselves and others;
- **use local resources** and skills;
- **increase income** of families and the nation;
- bring **new ideas** (innovation) into the market.

Types of business activities

Type	Meaning	Examples
Product business	Makes or sells physical goods	Bakery, furniture making, clothes store
Service business	Provides a service, not a product	Salon, tuition centre, repair shop, courier
Hybrid business	Both product and service	Restaurant (cooks and serves food), mobile shop with repairs

Business cycle (basic)

Every business follows a simple cycle:

1. **Identify a need** or idea.
2. **Buy raw materials** or arrange resources.
3. **Make the product / prepare the service**.
4. **Sell** to customers.
5. **Earn profit** and reinvest in the business.

A SMALL ENTREPRENEUR

Sunita noticed office workers in her area had no healthy lunch option. She started a home tiffin service with ₹5,000 savings. She bought vegetables (raw material), cooked meals (production), delivered them (selling) and used her profit to hire a helper. She is an entrepreneur running a **hybrid** business.

Qualities of an entrepreneur

- **Hard-working** and **patient**
- **Confident** and **positive**
- **Creative** – thinks of new ideas

- **Risk-taker** – ready to invest time and money
- **Good decision-maker** and **problem-solver**
- **Good communicator** – deals well with customers and suppliers
- **Persistent** – does not give up

ENTREPRENEUR VS EMPLOYEE

An **employee** works for someone else and gets a fixed salary. An **entrepreneur** owns the business, earns profit and bears the risk of loss.

Roles and functions

An entrepreneur plans the business, arranges money and materials, hires workers, decides prices, markets the product and handles problems.

REMEMBER WITH EXAMPLES

For each type of business, learn two examples. "Name the type of business" questions are common 1-markers.

Quick recap

- Entrepreneur = risk-taker who starts a business; enterprise = the business; entrepreneurship = the process.
- Entrepreneurs create jobs, products and income.
- Product, service and hybrid businesses.
- Business cycle: need → resources → production → sale → profit.
- Qualities: hard work, confidence, creativity, risk-taking, persistence.

Practice questions

1. The business started by an entrepreneur is called a(n)
   (a) employee (b) enterprise (c) salary (d) customer
2. A beauty salon is an example of a
   (a) product business (b) service business (c) hybrid business (d) manufacturing unit
3. A restaurant that cooks and serves food is a
   (a) product business (b) service business (c) non-profit (d) hybrid business
4. Who bears the risk of loss in a business?
   (a) The entrepreneur (b) The customer (c) The employee (d) The government
5. Which quality means not giving up despite difficulties?
   (a) Impatience (b) Laziness (c) Persistence (d) Fear
6. The first step of a business cycle is
   (a) earning profit (b) selling the product (c) hiring workers (d) identifying a need or idea
7. Differentiate between an entrepreneur and an employee.
8. Explain the three types of business with one example each.

Answers: 1. b 2. b 3. d 4. a 5. c 6. d 7. see notes 8. see notes